Absorbing Transition DID Results: Bad Historical Any Failure — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.029*		0.008		0.021
		(0.015)		(0.009)		(0.013)
× Voluntary Rotation		0.022***		0.010***		0.020***
		(0.005)		(0.003)		(0.004)
Pooled	0.033***		0.013***		0.027***	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		0.007		-0.002		0.001
Difference p-value		0.670		0.871		0.971
Observations	35,061	32,284	35,061	32,284	35,061	32,284
Firms	5,030	4,909	5,030	4,909	5,030	4,909
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.043**		0.020		0.027*
		(0.019)		(0.013)		(0.016)
× Voluntary Rotation		0.030***		0.014***		0.026***
		(0.006)		(0.004)		(0.006)
Pooled	0.031***		0.014***		0.027***	
	(0.006)		(0.004)		(0.005)	
Mandatory − Voluntary		0.013		0.006		0.001
Difference p-value		0.498		0.648		0.946
Observations	19,698	18,682	19,698	18,682	19,698	18,682
Firms	2,769	2,736	2,769	2,736	2,769	2,736
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.024*		0.016		0.014
		(0.014)		(0.011)		(0.011)
× Voluntary Rotation		0.019***		0.008**		0.019***
		(0.005)		(0.003)		(0.004)
Pooled	0.029***		0.011***		0.025***	
	(0.004)		(0.003)		(0.003)	
Mandatory − Voluntary		0.005		0.009		-0.005
Difference p-value		0.718		0.460		0.693
Observations	33,813	30,991	33,813	30,991	33,813	30,991
Firms	5,244	5,116	5,244	5,116	5,244	5,116
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.023*		0.013		0.014
		(0.013)		(0.010)		(0.011)
× Voluntary Rotation		0.017***		0.006*		0.017***
		(0.005)		(0.003)		(0.004)
Pooled	0.028***		0.010***		0.023***	
	(0.004)		(0.002)		(0.003)	
Mandatory − Voluntary		0.005		0.006		-0.003
Difference p-value		0.704		0.548		0.775
Observations	35,473	32,636	35,473	32,636	35,473	32,636
Firms	5,244	5,137	5,244	5,137	5,244	5,137
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.